

25NNCV05529 25NNCV05529

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Case Number: 25NNCV05529 Hearing Date: July 17, 2026 Dept: B

Hon. Victor Avila, Dept B

DEMURRER TO COMPLAINT

Hearing Date: 7/17/26

CASE NO./NAME: 25NNCV05529

Garen Avetisyan v. Nektar Avetisyan, as Trustee of the Nektar Avetisyan

Revocable Living Trust et al.

Moving Party: Defendant Nektar Avetisyan

Responding Party: Plaintiff Garen Avetisyan

Notice: Sufficient

Ruling: SUSTAINED

in part and OVERRULED in part

NOTICE

The

Court is not requesting oral argument on this matter. The Court is guided by California Rules of Court, Rule 3.1308(a)(1) whereby notice of intent to appear is requested. Unless the Court directs argument in the Tentative Ruling, no argument is requested and any party seeking argument should notify all other parties and the court by 4:00 p.m. on the court day before the hearing of the party's intention to appear and argue. The tentative

ruling will become the ruling of the court if no argument is received.

Notice

may be given either by email at or by telephone at (818) 260-8422.

BACKGROUND

This is a property dispute action. Plaintiff Garen Avetisyan (Plaintiff) is the former spouse of defendant Nektar Avetisyan (Defendant), the two were divorced in May of 2014. This dispute concerns a Toluca Lake residence (the Property), which Plaintiff alleges Defendant wrongfully transferred into her trust, and then later sold. Plaintiff alleges that he funded the initial purchase of the property and Defendant has appropriated the proceeds of the sale.

On December 4, 2025, Plaintiffs filed the First Amended Complaint (FAC) asserting ten causes of action for (1) breach of contract; (2) breach of implied in fact contract; (3) constructive trust; (4) unjust enrichment; (5) resulting trust; (6) constructive fraud; (7) conversion; (8) fraud (intentional misrepresentation or concealment); (9) accounting; and (10) money had and received. On June 10, 2026, Defendant filed the instant demurrer to all ten causes of action for failure to state a claim and alleges the FAC is a sham pleading and uncertain. On July 6, 2026, Plaintiff filed an opposition. On July 10, 2026, Defendant filed a reply.

REQUEST

FOR JUDICIAL NOTICE

Judicial notice may not be taken of any matter, unless authorized or required by law.

(Evid. Code, § 450.) Under Evidence Code section 452, the Court may take judicial notice of the private and official acts of the legislative, executive, and judicial departments of the United States and of any state of the United States; and the records of any court of the United States and of any state of the United States; and it must take judicial notice of those acts and records if a party so requests and provides sufficient notice to the adverse party.

(Evid. Code, §§ 452, 453.) “In determining the sufficiency of a complaint against demurrer a court will consider matters that may be judicially noticed.” (Joslin v. H.A.S. Ins. Brokerage (1986) 184 Cal.App.3d 369, 374.)

Here, Defendant requests judicial notice of Exhibit (A) 2014 Divorce of Nektar and Garen Avetisyan, Case No. LD062020. Plaintiff opposes Defendant's request for judicial notice on the grounds that it adds nothing to the pleading. (Opp., to RJN, p. 2.) However, Plaintiff does not dispute that the court may take judicial notice of the document. (Ibid.) The court may take judicial notice of the divorce judgment as a record of the court pursuant to Evidence Code section 452. The request is granted. (Evid. Code, § 452, subd. (d).)

EVIDENTIARY OBJECTIONS

Plaintiff submits two (2) evidentiary objections to Defendant's evidence – Declaration of Karo Karapetyan filed in support of the Defendant's demurrer.

Overruled: Nos. 1-2

Sustained: None

LEGAL STANDARD

"[A] demurrer tests the legal sufficiency of the allegations in a complaint." (Lewis v. Safeway, Inc. (2015) 235 Cal.App.4th 385, 388.) A demurrer can be used only to challenge defects that appear on the face of the pleading under attack or from matters outside the pleading that are judicially noticeable. (See Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994 [in ruling on a demurrer, a court may not consider declarations, matters not subject to judicial notice, or documents not accepted for the truth of their contents].) For purposes of ruling on a demurrer, all facts pleaded in a complaint are assumed to be true, but the reviewing court does not assume the truth of conclusions of law. (Aubry v. Tri-City Hosp. Dist. (1992) 2 Cal.4th 962, 967.)

Further, the court may, upon motion, or at any time in its discretion, and upon terms it deems proper, strike any irrelevant, false, or improper matter inserted in any pleading. (Code Civ. Proc., § 436, subd. (a).) The court may also strike all or any part of any pleading not drawn or filed in

conformity with the laws of this state, a court rule, or an order of the court. (Code Civ. Proc., § 436, subd. (b).) The grounds for a motion to strike are that the pleading has irrelevant, false, or improper matter, or has not been drawn or filed in conformity with laws. (Code Civ. Proc., § 436.) The grounds for moving to strike must appear on the face of the pleading or by way of judicial notice. (Code Civ. Proc., § 437.)

Leave to amend must be allowed where there is a reasonable possibility of successful amendment. (See *Goodman v. Kennedy* (1976) 18 Cal.3d 335, 349 [court shall not “sustain a demurrer without leave to amend if there is any reasonable possibility that the defect can be cured by amendment”]; *Kong v. City of Hawaiian Gardens Redevelopment Agency* (2002) 108 Cal.App.4th 1028, 1037 [“A demurrer should not be sustained without leave to amend if the complaint, liberally construed, can state a cause of action under any theory or if there is a reasonable possibility the defect can be cured by amendment.”]; *Vaccaro v. Kaiman* (1998) 63 Cal.App.4th 761, 768 [“When the defect which justifies striking a complaint is capable of cure, the court should allow leave to amend.”].) The burden is on the complainant to show the Court that a pleading can be amended successfully. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.)

MEET AND CONFER

Code of Civil Procedure section 430.41

requires that before the filing of a demurrer the moving party “shall meet and confer in person or by telephone” with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer. (Code Civ. Proc. § 430.41(a).) The parties are to meet and confer at least five days before the date the responsive pleading is due. (Code Civ. Proc. § 430.41(a)(2).) Thereafter, the moving party shall file and serve a declaration detailing their meet and confer efforts. (Code Civ. Proc. § 430.41(a)(3).)

Defendant’s counsel declares they sent a meet and confer letter to Plaintiff’s counsel on June 6, 2026, asking Plaintiff to dismiss the action. (Karapetyan Decl., ¶ 3.) Defendant’s counsel declares that they followed up with Plaintiff’s counsel via telephone on June 8, 2026, and Plaintiff refused to dismiss the FAC. (Ibid; see also Decl. of Demurring or Moving Party Regarding Meet and Confer.) Plaintiff does not address meet and confer efforts.

Although one letter and phone call asking opposing party to dismiss the action outright does not sufficiently exhaust meet and confer efforts, the Court cannot overrule a demurrer based on an insufficient meet and confer. (Code Civ. Proc., § 430.41(a)(3).) The Court will review the demurrer on its merits but admonishes Defendant to make more of an effort to meet and confer in the future.

DISCUSSION

Defendant demurs to each cause of action asserted by Plaintiff in the FAC for failure to state facts sufficient to constitute a cause of action. (Dem., pp. 2-3.) Defendant also argues the entire FAC is a sham pleading and is uncertain regarding Defendant's trustee capacity. (Ibid.)

Sham Pleading Doctrine

A court has the authority to strike sham pleadings (i.e. those not filed in conformity with a prior ruling. (Code of Civ. Proc. §436.)

A party may seek to attack an alleged sham pleading via a motion to strike or courts have ruled, via a demurrer. (Ricard v. Grobstein, Goldman, Stevenson Siegel, LeVine & Mangel (1992), 6 Cal.App.4th 157, 162.)

"Under the sham pleading doctrine, allegations in an original pleading that rendered it vulnerable to demurrer or other attack cannot simply be omitted without explanation.... The purpose of the doctrine is to enable the courts to prevent an abuse of process.... The doctrine is not intended to prevent honest complainants from correcting erroneous allegations or to prevent the correction of ambiguous facts...." (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 751.)

"If a party files an amended complaint and attempts to avoid the defects of the original complaint by either omitting facts which made the previous complaint defective or by adding facts inconsistent with those of previous pleadings, the court may take judicial notice of prior pleadings and may disregard any inconsistent allegations. (Deveny v. Entropin, Inc. (2006) 139 Cal.App.4th 408,

425.)

Defendant

argues that the original Complaint and FAC directly contradict each other in a material way. (Dem., p. 6.) Defendant argues that the original complaint alleges that Plaintiff “subsequently took residence at the Property, alongside Defendant” and that in 2024, Plaintiff “decided to vacate the property” while continuing to financially support the mortgage and living expenses. (Ibid.) Defendant argues that in contrast, the FAC alleges that Plaintiff “never took residence at the Property alongside Defendant”. (Ibid.) Moreover, Defendant argues that the FAC also alleges that Plaintiff “funded the home they resided in”. (Dem., p. 7.) Defendant argues that this swap is incredibly contradictory and Plaintiff offers no explanation is provided which explains swapping “one factual universe for another”. (Dem., p. 6.)

Plaintiff

argues that an explanation is offered in the amended pleading to satisfy the doctrine’s requirements and leave to amend must be granted. (Opp., p. 8.) In reply Defendant argues that this explanation is sufficient. (Reply, p. 2.)

Here,

the Complaint alleges that Plaintiff lived at the Property until 2024 and then decided to move out while continuing to financially support the home. (Complaint, ¶¶ 27-28.) However, the FAC alleges that Plaintiff never resided at the Property while also referring to the Property as the home Plaintiff and Defendant resided in. (FAC, ¶¶ 12, 68.) Plaintiff’s counsel explains in his declaration that the discrepancy reflects a drafting error made in the initial pleading, which was corrected to conform to the facts Plaintiff relayed. (Bayburtiski Decl., ¶ 3.)

Since

Plaintiff has offered an explanation for the discrepancy, the sham pleading doctrine is inapplicable here.

Uncertainty

“A demurrer for

uncertainty is not intended to reach the failure to incorporate sufficient facts in the pleading but is directed at the uncertainty existing in the allegations actually made”. (Butler v. Sequeira (1950) 100 Cal.App.2d

143, 145-146.) Moreover, demurrers for uncertainty are disfavored and will only be sustained where the pleading is so ambiguous and unclear that the defendant cannot reasonably respond, i.e., he or she cannot reasonably determine what issues must be admitted or denied, or what counts or claims are directed against him or her. (*Khoury v. Maly's of Calif. Inc.* (1993) 14 Cal.App.4th 612, 616.)

Defendant argues

that the FAC is uncertain as to Defendant's trustee status because Plaintiff states the claim against Defendant in her capacity as trustee, but the substantive allegations concern alleged personal promises. (Dem., p. 7.)

In opposition,

Plaintiff argues that Plaintiff may sue Defendant as an individual and in her capacity as trustee of her own revocable trust because his claim is one of a creditor and a trustee is personally liable for obligations arising from ownership or control of trust property. (Opp., pp. 16-17.) Defendant does not address this argument in his reply.

Here, the FAC is

not uncertain. While Plaintiff does not specify Defendant's capacity in each cause of action, Plaintiff identifies Defendant as an individual being sued in her capacity as a trustee. (FAC, ¶ 4.) Moreover, the FAC is not so ambiguous or unclear that Defendant cannot reasonably respond.

Thus, demurrer

is **OVERRULED** as to uncertainty

First Cause of Action: Breach of Contract

To state a cause

of action for breach of contract, Plaintiff must be able to establish "(1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff." (*Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 821.)

If a breach of

contract claim "is based on alleged breach of a written contract, the terms must be set out verbatim in the body of the complaint or a copy of the written

agreement must be attached and incorporated by reference". (Harris v. Rudin, Richman & Appel (1999) 74 Cal.App.4th 299, 307.) In some circumstances, a plaintiff may also "plead the legal effect of the contract rather than its precise language." (Construction Protective Services, Inc. v. TIG Specialty Ins. Co. (2002) 29 Cal.4th 189, 198-199.)

Defendant

argues that Plaintiff fails to state whether the contract is written, oral, or implied and fails to plead facts which support formation of a valid contract. (Dem., p. 9.) Defendant argues that Plaintiff only alleges that a contract was formed because of an "understanding". (Ibid.) Moreover, Plaintiff argues that the nature of the "understanding", ownership interest in real property, falls within the statute of frauds which mandates a writing. (Ibid.) Moreover, Defendant argues Plaintiff fails to allege any sufficient consideration for the purported contract. (Dem., p. 10.)

In

opposition, Plaintiff argues that the Court has the discretion to compel specific performance in cases of part performance and to prevent fraud. (Opp., pp. 8-9.) Plaintiff argues that equitable estoppel can overcome the requirements of the statute of frauds. (Opp., p. 9.) In reply, Defendant reiterates the statute of frauds argument. (Reply, pp. 3-5.)

Here, Plaintiff

does not state in the pleadings whether the alleged contract was written, oral, or implied. Plaintiff only makes the conclusory allegation that a valid contract existed. (FAC, ¶ 23.) Under Code of Civil Procedure section 430.10 subdivision (g), a party may demurrer to a pleading with an action founded upon a contract when it cannot be ascertained from the pleading whether the contract is written, is oral, or is implied by conduct. (Code Civ. Proc., § 430.10 (g).) Moreover, under the statute of frauds, a contract for interest in real property, or for an amount over \$100,000, is invalid unless it is in writing. (Civ. Code, § 1624 (a)(3), (a)(7).) Plaintiff is alleging breach of contract for interest in a property and for an amount over \$100,000 with no purported written contract attached. Thus, Plaintiff has failed to state facts to establish the existence of a valid contract. Since Plaintiff has amended the complaint and did not supply the court facts surrounding the purported agreement or provided a written valid contract which would satisfy the statute of frauds, leave to amend will not be granted.

Accordingly,

Defendants' demurrer as to the first cause of action for breach of contract is SUSTAINED without leave to amend.

Second Cause of Action: Breach of
Implied-in-Fact Contract

An implied-in-fact contract has the same essential elements as an express contract: mutual assent and consideration. (Chandler v. Roach (1957) 156 Cal.App.2d 435, 440.) To show breach, Plaintiff must be able to establish "(1) the existence of the contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) the resulting damages to the plaintiff." (Oasis West Realty, supra, 51 Cal.4th at 821.)

Defendant argues that Plaintiff's cause of action for breach of implied-in-fact contract fails for all the reasons set forth above. (Dem., p. 10.) Moreover, Defendant argues that Plaintiff fails to plead the agreed upon rate of the contract which the court has said is required for a breach of implied contract claim. (Dem., p. 11.) Defendant argues that the purported contract is not a contract at all because it is only supported by unilateral expectations and is not supported by mutual assent. (Ibid.)

As stated above, Plaintiff argues that the Court has the discretion to compel specific performance in cases of part performance and to prevent fraud. (Opp., pp. 8-9.) In reply, Defendant reiterates the lack of allegations to support an argument of mutual assent. (Reply, p. 5.)

Here, Plaintiff alleges an implied-in-fact contract formed by the conduct of the parties. However, Plaintiff fails to allege facts which establish conduct to suggest Defendant agreed to "not take any actions to undermine Plaintiff's financial interests in the property". (FAC, ¶¶ 32-33.) This purported agreement for conduct is not subject to the statute of frauds, however Plaintiff has pled no facts describing the conduct which created the alleged agreement. Thus, plaintiff has failed to plead facts which establish the existence of a contract through conduct.

Accordingly,

Defendants' demurrer as to the second cause of action for breach of implied-in-fact contract is SUSTAINED with leave to amend.

Third Cause of

Action: Constructive Trust

"A constructive trust is an involuntary equitable trust created by operation of law as a remedy to compel the transfer of property from the person wrongfully holding it to the rightful owner. The essence of the theory of constructive trust is to prevent unjust enrichment and to prevent a person from taking advantage of his or her own wrongdoing". (Campbell v. Superior Court (2005) 132 Cal.App.4th 904, 920, citations omitted.) "[A] constructive trust may only be imposed where the following three conditions are satisfied: (1) the existence of a res (property or some interest in property); (2) the right of a complaining party to that res; and (3) some wrongful acquisition or detention of the res by another party who is not entitled to it." (Ibid., italics omitted.)

Constructive trust is not a cause of action but merely a remedy to compel a person not justly entitled to property to transfer it to another who is entitled to it. (Davies v. Krasna (1975) 14 Cal.3d 502, 515.)

Defendant argues that a Plaintiff cannot state a claim for constructive trust because it is not a cause of action, but an equitable remedy. (Dem., p. 12.) Defendant argues that even if the court were to indulge in the count as a remedy in the prayer section, Plaintiff cannot show that he had a right to the Property or that Defendant wrongfully acquired to Property. (Dem., pp. 12-13.)

In opposition, Plaintiff argues that one who gains a thing by fraud is an involuntary trustee who can be subject to a constructive trust. (Opp., p. 10.) In reply, Defendant reiterates that a constructive trust is not a cause of action. (Reply, p. 6.)

Here, Plaintiff has pled sufficient facts to constitute a prayer for a constructive trust. (FAC, ¶ 39-45.)

Plaintiff may seek a constructive trust as a remedy as it relates to other underlying causes of action. However, a constructive trust is not an independent cause of action in California. (Batt v. City and County of San Francisco (2007) 155 Cal.App.4th 65, 82.) Thus, the Plaintiff fails to state a legitimate cause of action.

Accordingly,

Defendants' demurrer as to the third cause of action for a constructive trust is SUSTAINED without leave to amend.

Fourth Cause of

Action: Unjust Enrichment or Restitution

"The elements

for a claim of unjust enrichment are receipt of a benefit and unjust retention of the benefit at the expense of another. The theory of unjust enrichment requires one who acquires a benefit which may not justly be retained, to return either the thing or its equivalent to the aggrieved party so as not to be unjustly enriched." (Lyles v. Sangadeo-Patel (2014) 225 Cal.App.4th 759, 769, quotation marks and citations omitted.)

Notably, "[u]njust enrichment is not a cause of action"; it is simply "a restitution claim." (Hill v. Roll International Corp. (2011) 195

Cal.App.4th 1295, 1307; see also Melchior v. New Line Productions, Inc. (2003) 106 Cal.App.4th 779, 793 ["there is no cause of action in California for unjust enrichment"].)

Defendant argues

that Plaintiff cannot state a claim for unjust enrichment because it is not a standalone cause of action, but a remedy. (Dem., 14.) Defendant argues that even if the court were to construe the cause of action as a quasi-contract theory, it fails because Plaintiff provided funds to purchase property and that is what the funds were used for. (Ibid.)

In opposition, Plaintiff

concedes that unjust enrichment is not a cause of action but argues that it is an enforceable quasi-contract remedy. (Opp., pp. 11-12.) In reply, Defendant reiterates that restitution is not a cause of action and Plaintiff's quasi-contract claim fails because capital was obtained by unidentified third parties, and the money is not his. (Reply, p. 7.)

Here, Plaintiff

has pled an underlying action for fraudulent inducement and incorporated those allegations into the claim of unjust enrichment. (FAC, ¶¶ 46-54.) Plaintiff may seek restitution as it relates to that underlying claim. However, it is settled that unjust enrichment is not an independent cause of action in California. (Hill v. Roll Internat. Corp. (2011) 195 Cal.App.4th 1295, 1307.) Moreover, Plaintiff has not

sought relief under a quasi-contract theory. Thus, the Plaintiff fails to state a legitimate cause of action.

Accordingly,

Defendants' demurrer as to the fourth cause of action for unjust enrichment or restitution is SUSTAINED without leave to amend.

Fifth Cause of Action: Resulting Trust

A resulting

trust arises when property is transferred under circumstances showing that the transferee was not intended to take the beneficial interest; because the beneficial interest was not effectively disposed of it remains in or returns to the transferor. (Lonely Maiden Productions, LLC v. GoldenTree Asset Management, LP (2011) 201 Cal.App.4th 368, 386; Lloyds Bank Cal. v. Wells Fargo Bank (1986) 187 Cal.App.3d 1038, 1042.) A claimant must prove facts establishing a beneficial interest by clear and convincing evidence. [Gomez v. Cecena (1940) 15 Cal.2d 363, 366- 367]

In Stansfield

v. Starkey (1990) 220 Cal.App.3d 59, the court found that the trial court acted within its discretion by sustaining a demurrer without leave to amend as to causes of action for resulting trust and constructive trust, which are legal remedies. (Stansfield v. Starkey (1990) 220 Cal.App.3d 59, 76.)

Defendant argues

that Plaintiff cannot state a claim for a resulting trust because it is not a cause of action, but a remedy. (Dem., p. 15.) Moreover, Defendant argues that she was the intended beneficiary of the Property at the time title was acquired. (Dem., pp. 15-16.)

In opposition, Plaintiff

argues that "when a transfer of real property is made to one person and the consideration therefor is paid by or for another, a trust is presumed to result in favor of the person by or for whom such payment is made". (Opp., p. 10.) In reply, Defendant argues that even if Plaintiff were to seek relief in the form of a resulting trust it would fail because Plaintiff does not identify what portion of the purchase price he funded and how much came from unidentified friends and investors. (Reply, p. 5.)

Here, Plaintiff

has pled an underlying action for fraudulent inducement relating to the transfer of the Property and incorporated those allegations into the claim for a resulting trust. (FAC, ¶¶ 46-54.) The Plaintiff may seek a resulting trust as it relates to that underlying claim.

However, a resulting trust is not an independent cause of action in California. (Stansfield, supra, 220 Cal.App.3d at 76.) Thus, the Plaintiff fails to state a legitimate cause of action.

Accordingly,

Defendants' demurrer as to the fifth cause of action for resulting trust is SUSTAINED without leave to amend.

Sixth Cause of

Action: Constructive Fraud

The necessary elements for constructive fraud are: (1) a fiduciary, confidential or special relationship; (2) breach (e.g., nondisclosure); (3) intent to deceive; (4) reliance; (5) causation; and (6) damages. (Younan v. Equifax Inc., (1980) 111 Cal.App.3d 498, 516-517, fn. 14.)

Defendant argues that Plaintiff's claim of constructive fraud fails because Plaintiff fails to plead a fiduciary relationship between Defendant and Plaintiff and he is not a beneficiary to Defendant's estate. (Dem., pp. 17-18.)

In opposition, Plaintiff argues that the co-investor relationship of the parties amounts to a fiduciary relationship. (Opp., p. 16.). In reply, Defendant reiterates that Plaintiff fails to plead sufficient facts. (Reply, p. 8.)

Here, Plaintiff has stated facts to allege the existence of a fiduciary relationship. Plaintiff alleges that Defendant owed a fiduciary duty to Plaintiff arising from the financial trust placed in her by Plaintiff who funded the purchase of the home. (FAC, ¶ 68.) Thus, Plaintiff has alleged a fiduciary business relationship. Although Defendant challenges the validity of the fiduciary relationship, at the demurrer stage the Court is only evaluating the sufficiency of the pleadings. (Lewis, supra, 235 Cal.App.4th at 388.) Thus, Plaintiff has pled facts sufficient to state a cause of action for

constructive fraud.

Accordingly,

Defendants' demurrer as to the sixth cause of action for constructive fraud is OVERRULED.

Seventh Cause of

Action: Conversion

"Conversion is the wrongful exercise of dominion over the property of another. The elements of a conversion claim are: (1) the plaintiff's ownership or right to possession of the property; (2) the defendant's conversion by a wrongful act or disposition of property rights; and (3) damages." (Lee v. Hanley (2015) 61 Cal.4th 1225, 1240.)

Defendant argues that Plaintiff cannot state a claim for conversion because conversion applies to personal property, not real property. (Dem., p. 19.) Defendant argues that Plaintiff's conversion theory targets the Property, but real property is not chattel that can be converted. (Ibid.)

In opposition, Plaintiff argues that money can be the subject of a conversion claim where a specific identifiable sum is involved. (Opp., p. 13.) Plaintiff argues that the proceeds from the house constitute a specific identifiable sum. (Ibid.) In reply, Defendant argues that the money rule is irrelevant because Plaintiff pled conversion of real property in the FAC. (Reply, pp. 7-8.)

Here, the FAC alleges Defendant "without authorization assumed and exercised control over Plaintiff's property". (FAC, ¶ 75.) While Plaintiff attempts to reconcile the conversion claim in their opposition, the FAC alleges conversion of real property. (FAC, ¶¶ 74-82.) The FAC does not focus on money as the subject of the conversion claim. (Ibid.) Thus, plaintiff has failed to state a cause of action for conversion.

Accordingly,

Defendants' demurrer as to the seventh cause of action for conversion is SUSTAINED with leave to amend.

Eighth Cause of

Action: Fraud (Intentional Misrepresentation or Concealment)

“The elements of fraud,” including a cause of action for fraudulent inducement, “are (a) a misrepresentation (false representation, concealment, or nondisclosure); (b) scienter or knowledge of its falsity; (c) intent to induce reliance; (d) justifiable reliance; and (e) resulting damage.” (Hinesley v. Oakshade Town Ctr. (2005) 135 Cal.App.4th 289, 294.) The facts constituting the alleged fraud must be alleged factually and specifically as to every element of fraud, as the policy of “liberal construction” of the pleadings will not ordinarily be invoked. (Lazar v. Superior Court (1996) 12 Cal.4th 631, 645.)

Defendant argues that Plaintiff’s fraud claim lacks the requisite specificity. (Dem., p. 20.) Defendant argues that Plaintiff does not allege facts which support promissory fraud and only makes conclusory allegations of a broken promise. (Ibid.) Moreover, Defendant argues that Plaintiff does not allege reliance or damages with requisite specificity. (Dem., p. 21.)

In opposition, Plaintiff restates the elements of a fraud action and argues that an intent not to perform supports a fraud action. (Opp., pp. 14-15.) In reply, Defendant reiterates that Plaintiff fails to plead sufficient facts. (Reply, p. 8.)

Here, Plaintiff has failed to plead fraud with the requisite specificity. Plaintiff’s allegations are conclusory. (FAC, ¶¶ 83-92.) For example, regarding the elements of knowledge of falsity and intent to induce reliance, Plaintiff merely states “[a]t the time Defendant made these representations, she knew they were false” and “Defendant intended that Plaintiff rely on these representations. (FAC, ¶¶ 87-88.) These statements are not supported with the specific allegations required of a fraud pleading. (Lazar, supra, 12 Cal.4th at 645.) Thus, Plaintiff has failed to state a cause of action for fraud.

Accordingly, Defendants’ demurrer as to the eighth cause of action for fraud is SUSTAINED with leave to amend.

Ninth Cause of
Action: Accounting

"A cause of action for an accounting requires a showing that a relationship exists between the plaintiff and defendant that requires an accounting, and that some balance is due the plaintiff that can only be ascertained by an accounting. An action for accounting is not available where the plaintiff alleges the right to recover a sum certain or a sum that can be made certain by calculation." (Teselle v. McLoughlin (2009) 173 Cal.App.4th 156, 179, citations and paragraph break omitted.)

Defendant argues that Plaintiff's accounting cause of action is insufficient because Plaintiff does not allege a relationship with Defendant which requires an accounting. (Dem., pp. 21-22.) Moreover, Defendant argues that accounting is not required here, where Plaintiff has alleged a sum certain in damages of "at least \$1,400,000, representing the financial contributions and support provided to the property". (Dem., p. 23.)

In opposition, Plaintiff argues that the co-investor relationship of the parties and the complexity of the financial transactions support the cause of action. (Opp., p. 16.) In reply, Defendant argues that Plaintiff fails to plead a sufficient fiduciary relationship. (Reply, p. 9.)

Here, Plaintiff reiterates the existence of a fiduciary relationship. (FAC, ¶ 94.) Plaintiff alleges that Defendant owed a fiduciary duty to Plaintiff arising from the financial arrangements they entered regarding the Property. (Ibid.) Thus, Plaintiff has alleged a fiduciary business relationship requiring an accounting. Moreover, while Plaintiff makes a prayer for damages of \$1,400,000 at minimum, Plaintiff prays for an amount in damages to be determined at trial. (FAC, p. 15, ¶ D.) Thus, Plaintiff has pled facts sufficient to state a cause of action for accounting.

Accordingly,

Defendants' demurrer as to the ninth cause of action for accounting is OVERRULED.

Tenth Cause of

Action: Money Had and Received

The required

elements of a common count claim are "(1) the statement of indebtedness in a certain sum, (2) the consideration, i.e., goods sold, work done, etc., and (3) nonpayment. A cause of action for money had and received is stated if

it is alleged the defendant is indebted to the plaintiff in a certain sum for money had and received by the defendant for the use of the plaintiff.” (Farmers Insurance Exchange v. Zerin (1997) 53 Cal.App.4th 445, 460, citation and quotation marks omitted.)

Defendant argues

that Plaintiff’s claim for “money had and received” fails because Plaintiff the money in dispute was used for its intended purpose, purchase of property. (Dem., p. 24.) Defendant argues that the money was not loaned or given to Defendant with the understanding that it had to be returned. (Ibid.) Moreover, Defendant argues that the money in dispute does not entirely belong to Plaintiff if he obtained loans and investments for the property from friends and investors as he alleges. (Ibid.) Defendant further argues that the pleaded amount is incoherent and the retention of the money in dispute was lawful. (Dem., p. 25.)

In opposition, Plaintiff

argues that this cause of action is available when a sum of money is owed to another in equity and good conscious. (Opp., p. 16.) Plaintiff argues that money had and received is not subject to the heightened pleading requirements of fraud. (Ibid.) In reply, Defendant argues that Plaintiff does not identify a specific sum “owed” by Plaintiff considering the admission that Defendant took proceeds from friends and investors for the purchase of the Property. (Reply, p. 9.)

Here, Plaintiff

has failed to state a sum certain as required for a common counts claim. (Farmers Insurance Exchange, supra, 53 Cal.App.4th at 460.) While Plaintiff makes a prayer for damages of \$1,400,000 at minimum, Plaintiff prays for an amount in damages to be determined at trial. (FAC, p. 15, ¶ D.) Thus, Plaintiff has failed to state a cause of action for money had and received, or common counts. Plaintiff cannot maintain the cause of action for accounting and money had and received based on the same sum of money because they have directly contradicting elements. Thus, Plaintiff cannot successfully amend this cause of action.

Accordingly,

Defendants’ demurrer as to the eighth cause of action for fraud is SUSTAINED without leave to amend.

CONCLUSION

AND ORDER

Defendant Nektar

Avetisyan's demurrer to Plaintiff's First Amended Complaint is SUSTAINED in part and OVERRULED in part.

Defendant Nektar

Avetisyan shall
provide notice of this order.